



SPONSOR: Sen. Hocker & Rep. Shupe
Sens. Buckson, Lawson, Pettyjohn, Richardson, Wilson;
Reps. Collins, Gray, Hilovsky, Yearick

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 64

AN ACT TO AMEND TITLE 7 OF THE DELAWARE CODE RELATING TO REGIONAL GREENHOUSE GAS
INITIATIVE AND CO2 EMISSIONS TRADING PROGRAM AUCTION PROCEEDS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend § 6046, Title 7 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 6046. Auction revenue.

4 (c) The Secretary shall direct auction proceeds to the following uses:

5 (1) Sixty-five percent of the CO₂ allowance proceeds shall be directed to the Sustainable Energy Utility
6 (SEU), established in § 8059 of Title 29. The SEU shall apply these funds to further the goals and activities of the
7 SEU including, but not limited to, the promotion of energy conservation, energy efficiency, renewable energy, and
8 energy financing pursuant to § 8059(f)(3) of Title 29.

9 (2) A total of 15% of the CO₂ allowance proceeds shall be directed to low-income consumers, of which 10%
10 shall be directed to the federally funded and state-administered Weatherization Assistance Program (WAP), and up to
11 5% shall be directed to the federally funded and state-administered fuel assistance (Low Income Home Energy
12 Assistance Program or LIHEAP) programs. Participants in the LIHEAP program funded pursuant to this section shall
13 also participate in the WAP program within 2 years of receiving assistance through LIHEAP, subject to funding
14 availability. These programs are administered by the Division for State Service Centers in the Delaware Department of
15 Health and Social Services.

16 (3) Percentage allocations of funds to the SEU and low-income consumers may be reviewed and adjusted
17 annually by a committee comprised of the Secretary of the Department of Natural Resources and Environmental
18 Control (DNREC), who shall serve as committee chair, the Chair of the Board of the SEU, and the program managers
19 of the state WAP and LIHEAP.

20 (4) Ten percent of CO₂ allowance proceeds shall be directed to Greenhouse Gas Reduction Projects, selected
21 by the Secretary following a periodic competitive proposal process. The Secretary shall utilize an advisory body
22 composed of electric generators, environmental advocates, legislators and such others as the Secretary may find useful

23 in developing guidelines for the proposal process and in soliciting and ranking of projects. Projects must result in
24 quantifiable and verifiable reductions in Greenhouse gas emissions in Delaware not otherwise required by federal or
25 state law and not receiving funding from any other state sources.

26 (5) The Secretary shall use up to 10% of CO₂ allowance proceeds as detailed in subsection (d) of this section.
27 Expenses for running the RGGI program shall be met first, prior to distribution of funds as outlined above.

28 (6) Beginning on January 1, 2026 and each year that after, any CO₂ allowance proceeds in excess of the total
29 dollar amount generated in 2025 shall be directed to a rebate program for the reduction of energy costs to retail electric
30 customers as defined in § 1001(21) of Title 26. DNREC shall promulgate regulations and administer the rebate
31 program referenced in this section. The rebate proceeds shall be provided to Delmarva Power and Light for pro rata
32 distribution to retail electric customers. The reduction of the customer's energy costs shall be reflected on the bill for
33 services issued by Delmarva Power and Light pursuant to § 1011 of Title 26.
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SYNOPSIS

Subchapter 11-A of Title 7 delineates the Regional Green House Gas initiative, including where proceeds from CO₂ allowance auctions shall be expended. This Act fixes the overall amount of proceeds directed to purposes currently in the Delaware Code to 2025 levels and instructs DNREC that any auction proceeds above 2025 levels be directed to a rebate program to defray the cost of electricity to ratepayers. Under this Act, Delmarva Power and Light would receive the rebate amounts and be required to distribute those proceeds in the form of electric bill reductions to retail electric customers.

Author: Senator Hocker